After George got comfortable with using his credit cards, he started to carry a small balance. Over time, this small balance started becoming bigger as his available funds weren't able to cover what was owed each month. To rationalize this running balance, George changed his view of debt as a "bad" thing to something acceptable since it was college debt and that was "good" debt. Wasn't it a fact that everyone had to take on debt to go to college? Wasn't everyone expected to have student loans? Besides, all his peers believed that the great jobs they would be getting after graduation would enable them to pay off their credit card debts.

Now George is a recent college graduate. He is earning an entry-level wage at a large corporation. Although he began with a starting salary of $60,000, George's paycheck is only large enough to pay his rent, car payment, student loans, and credit cards. George continues to rely on his credit cards to pay for gas, groceries, or anything else he wants to buy. Forget savings! He lives in a very small studio apartment in a dangerous part of town since that is all he can afford. The sad thing is that George will be looking forward to making his student loan payments for the next ten years. That's a short time compared to twenty-three years for his credit card payments if he continues to pay at his current rate.

Peer pressure is a hard thing to ignore. It takes a high level of self-esteem to resist conforming to the "crowd." If George wouldn't have felt the pressure to keep up financially with his wealthier classmates, he probably wouldn't have accumulated so much debt. In retrospect, George now realized he had a choice to live a frivolous and lavish lifestyle during college and the life of a pauper afterwards or live the life of a starving student while in school (more acceptable) and a comfortable life after graduation. He now wishes he had made the later choice.